duolingo

HCGCC 2026 · REGIONAL CASE

Duolingo can bring back 15.4M learners in one campaign. Its bookings grew only 8%.



Duolingo: sell proof of learning, not practice, to turn engagement into durable value.

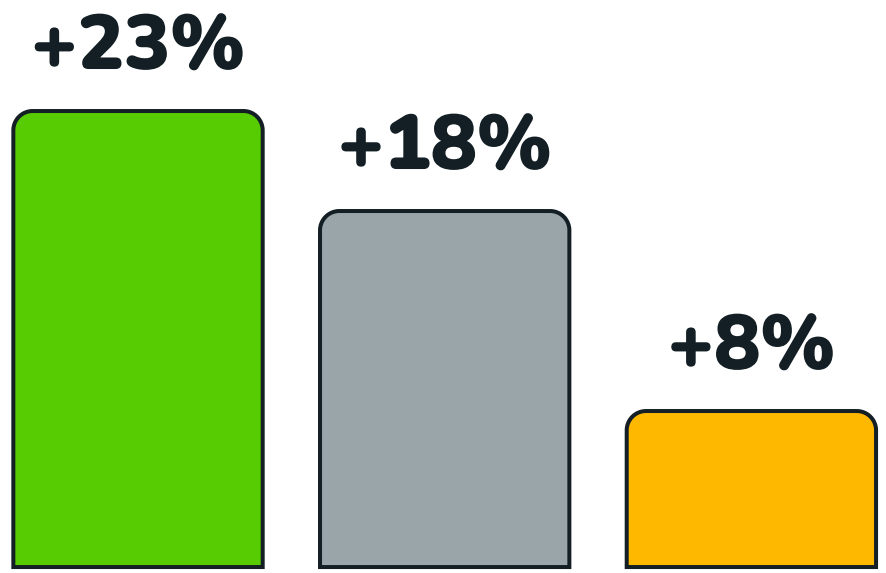
DEEP CUT

[Member 1] · [Member 2] · [Member 3] · [Member 4] Region: North America

Source: Duolingo Q2 2026 shareholder letter (Aug 5, 2026) via HCGCC 2026 Regional Case. Owl and wordmark © Duolingo, Inc.

Duolingo is winning attention, not bookings: daily users grew 23%, bookings only 8%.

YEAR-OVER-YEAR GROWTH, Q2 2026



SITUATION

58.7M daily active users (DAU), 140.6M monthly active users (MAU), $298.5M revenue in the quarter.

ISSUE

Only 9.0% of MAU pay (12.7M), at about $6.8 a month: half the $12.99–13.99 list price.

IMPACT

Adjusted EBITDA margin fell to 25.9% from ~31%. Shares hit $87.89, 84% below the May 2025 peak of $541.

The constraint is not demand. It is how Duolingo converts and prices it.

Source: Duolingo Q2 2026 shareholder letter and Form 10-Q via HCGCC 2026 Regional Case. $6.8 = $258.0M subscription revenue ÷ 3 months ÷ 12.7M payers (team calculation). EBITDA = profit before interest, taxes and non-cash items.

Four linked causes stop engagement from becoming revenue.

Root problem: daily users +23% but bookings +8%

1

Growth-first choice

Chose 10–12% bookings growth over ~20% to reach 100M daily users by 2028.

Linked: “AI-first” memo backlash

2

Thin conversion, low price

9.0% of MAU pay. Growth is in India, Indonesia, Brazil, Mexico, where incomes cap prices.

Linked: purchasing-power parity (PPP) gap

3

Premium AI is going free

ChatGPT and Gemini give free voice practice. Video Call moved from Max to Super.

Linked: third-party model reliance; English Test revenue −8%

4

Tolls and costs leak

App stores take 15–30%. Gross margin is 72.6% and AI costs are rising.

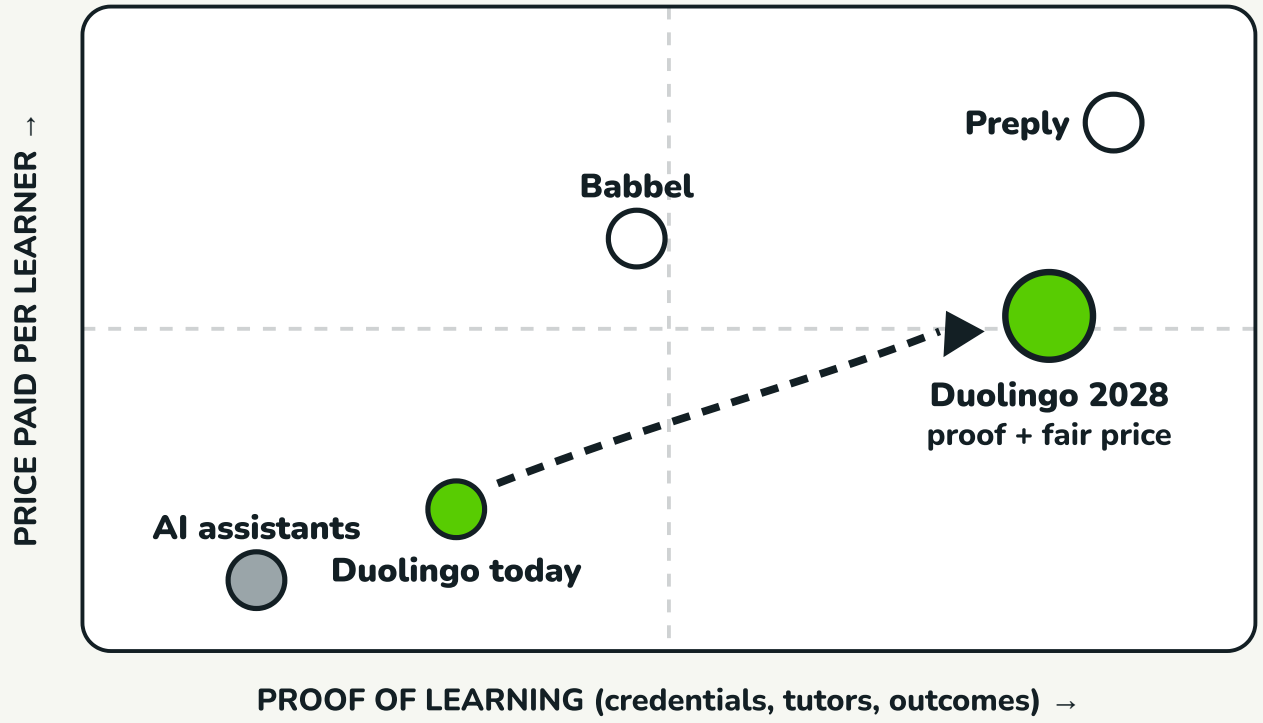
Linked: child-privacy laws (COPPA, SCOPE)

Fix both sides: raise realized price where it is low, and sell what AI cannot copy.

Source: Duolingo Q4 2025 and Q2 2026 shareholder letters, Apr 2025 all-hands memo, 2025 annual filing, via HCGCC 2026 Regional Case. English Test: $45.6M (2024) to $42.0M (2025) = −7.9%. COPPA and SCOPE = US children’s online-privacy laws. Super and Max = Duolingo’s paid tiers.

AI made practice free. The open space is proof of learning at a fair price.

COMPETITIVE POSITION (TEAM VIEW, ANCHORED ON CASE DATA)



BABBEL · PAID-ONLY

€352M revenue (2024), +6.6%. ~1,000 corporate clients.

PREPLY · LIVE TUTORS

$1.2B valuation. Learners pay ~$18 an hour.

WHERE THE MONEY IS

Education: $61.8B of an $85.1B market. Duolingo holds ~1%.

Duolingo already holds a credential asset: English Test accepted by all 8 Ivies and 98 of the top 100 US schools.

Source: Global Market Insights (GMI, report GMI5995, 2026); Business of Apps; Bloomberg, Jan 2026; Duolingo Q2 2026 call; Class Central, via HCGCC 2026 Regional Case. Market scope varies by research house (see Appendix 2).

Our answer: sell proof, not practice, with three moves that add no friction to the free app.

MOVE 1

Fair-price tiers

A $3.50 “Super Lite” plan in four emerging markets.

Lifts payers where list price is out of reach.

Answers Q1 · Q4

MOVE 2

Web-direct checkout

Pay on the web, where store policy allows.

Avoids the 15–30% store fee.

Answers Q2 · Q5

MOVE 3

Duolingo for Institutions

Seat licences for schools, universities and employers.

Opens the $61.8B education pool.

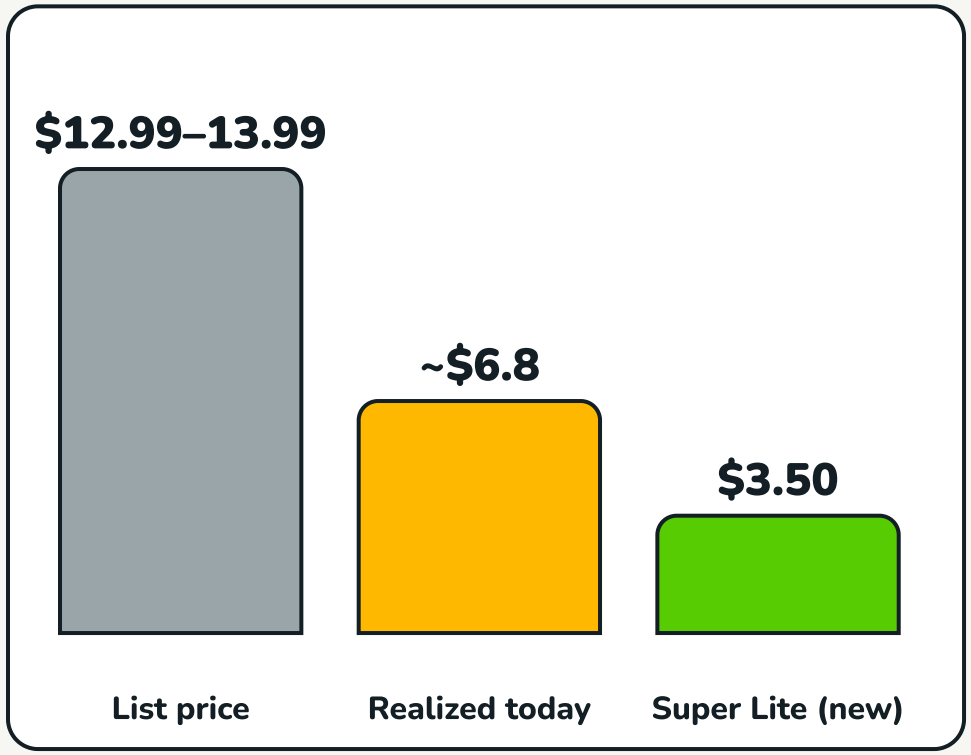
Answers Q3 · Q4 · Q5

New: the Duolingo Score becomes a product institutions buy. Streaks and learner data power it; the free app stays untouched.

Q1–Q5 = the five guiding questions in the HCGCC 2026 Regional Case. Duolingo Score = proficiency metric publishable to LinkedIn. Prices and seat counts are team assumptions (Appendix 1).

Fair prices and an owned checkout turn emerging-market users into profitable payers.

SUBSCRIPTION PRICE PER MONTH (US$)



WHERE FIRST

Wave 1: India, Indonesia. **Wave 2:** Brazil, Mexico. **Hold price:** Japan, Korea premium cohort.

MOVE 1

+2.5M payers × $3.50 × 12 = $105M, less $39M from 1.0M payers trading down = **$66M**.

MOVE 2

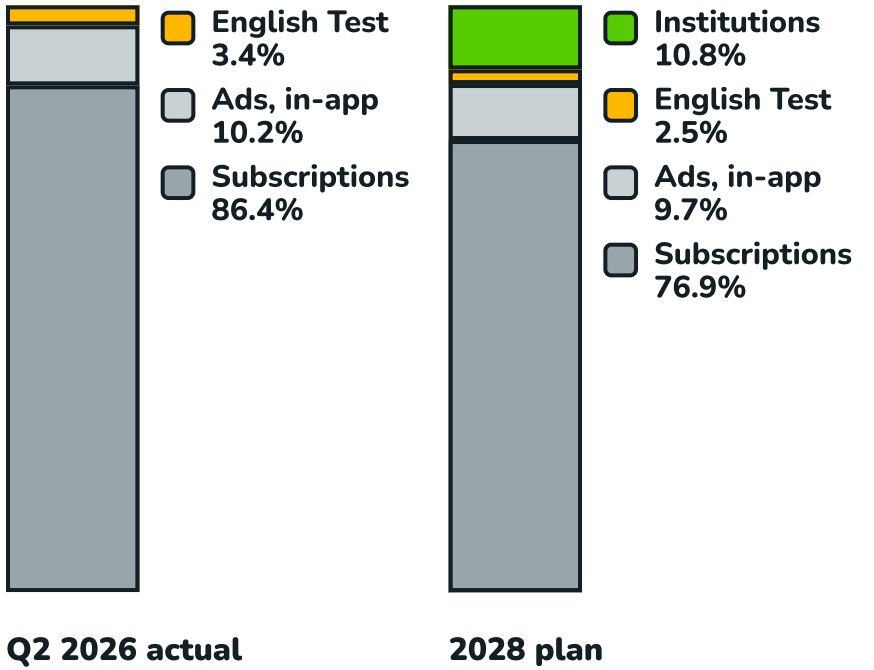
20% of subscriptions on web × 22.5% fee saved = **~$61M** (+3.5 margin points).

Same free app, more payers at a fair price, and a bigger share of each payment kept.

Source: Duolingo Q2 2026 letter; list price per Axis Intelligence, via HCGCC 2026 Regional Case. $3.50 tier, 2.5M new payers, 1.0M trading down (from ~$6.8), 20% web share and 22.5% (midpoint of 15–30% store fee) are team assumptions.

Institutions and employers can be the next 10% of revenue by buying proof, not practice.

REVENUE MIX (SHARE OF TOTAL)



LINE (2028 RUN-RATE)	VOLUME × PRICE	REVENUE
Schools & universities	6.0M seats × $12	**$72M**
Employers	2.0M seats × $60	**$120M**
English Test + Score	modest recovery	**~$45M**
Total	13.4% of revenue (3.4% today)	**$237M**

WHY THEY BUY

Warm door: English Test accepted by 3,100+ US universities. **Proof:** seat-level Score progress. **Proven market:** Babbel has ~1,000 corporate clients.

Subscriptions fall from 86% to 77% of revenue while still growing in dollars. Target: <0.5% of the $61.8B education segment.

Source: Duolingo Q2 2026 letter; GMI5995; Babbel per Business of Apps, via HCGCC 2026 Regional Case. Seats and prices are team assumptions. Education segment = $61.8B (Global Market Insights, 2025).

Eight risks, each with a concrete shield, keep Duolingo on track to 100M daily users.

	RISK	MITIGATION
!	**Free general AI commoditizes practice**	Sell verified proof: Score + English Test bundles
	Dependence on third-party AI models	Route across models; use open-source as costs fall
!	**App-store fees of 15–30%**	Web-direct checkout: 20% of subscriptions by 2028
!	**PPP gap in emerging markets**	Fair-price tier + family plans; cap trade-down at 1.0M payers
	Children's data: COPPA, SCOPE Act	Age checks by design; school-contract consent; legal audit
	English Test revenue erosion (–8%)	Fold into the Score; publish to LinkedIn; bundle
	Backlash to AI-first positioning	"AI plus teachers" message; publish efficacy results
	Key-person concentration	Named successors; documented decision rights

! = highest priority: largest revenue or margin exposure

Source: risk list from HCGCC 2026 Regional Case, Q2; mitigations and priorities are team recommendations. COPPA = Children's Online Privacy Protection Act; SCOPE = Securing Children Online through Parental Empowerment Act; PPP = purchasing-power parity.

A three-phase plan adds ~$258M revenue and ~$61M in saved fees by 2028 for ~$40M.

PHASE 1 · PILOT

Q1–Q2 2027

Super Lite and web checkout in India, Indonesia. 20 institution pilots.

Gate: trade-down ≤1.0M payers

PHASE 2 · SCALE

H2 2027

Add Brazil, Mexico, family plans. Build US institutional sales.

Gate: web ≥10% of subscriptions

PHASE 3 · EXPAND

2028

Score bundle for Japan, Korea. Vietnam, China via creators.

Gate: institutions + English Test ≥13%

SUCCESS METRIC	Q2 2026	2028 TARGET
Daily active users	58.7M	**100M (company goal)**
Paid subscribers	12.7M	**+2.5M from Move 1**
Adjusted EBITDA margin	25.9%	**≥27%**
Revenue per daily user per day (ARPDAU)	$0.056	**~$0.05**

RESOURCES · ~$40M / 24 MONTHS

$18M sales · $10M pricing and checkout · $7M compliance and efficacy · $5M creators

Source: Duolingo Q2 2026 letter via HCGCC 2026 Regional Case. Targets and budget are team estimates. ARPDAU dips as DAU grows 70% in lower-price markets ($1,772M ÷ 365 ÷ 100M). EBITDA ≥27% nets +3.5 pts of fee savings against AI costs and ~$20M/yr of plan spend. Day-30 retention (D30), customer acquisition cost (CAC) payback and Net Promoter Score (NPS) get baselines in Q1 2027 (Appendix 4).

Appendix 1 · Revenue bridge: $1,514M baseline grows to ~$1,772M in 2028 with the plan.

STEP	CALCULATION	US$M
2026E revenue (guidance)	Q2 letter, ~16% growth	1,207
2028 baseline, no plan	+12% in 2027, +12% in 2028	1,514
+ Move 1 fair-price tiers (net)	2.5M × $3.50 × 12 − 1.0M × $3.30 × 12	66
+ Schools and universities	6.0M seats × $12	72
+ Employers	2.0M seats × $60	120
2028 with plan	Adds $258M (+17%)	**1,772**
Move 2 fee savings (cost, not revenue)	20% × $1,363M × 22.5%	61

ASSUMPTIONS TO VALIDATE

Baseline growth tracks bookings guidance (10–12%).

$3.30 = $6.8 today less $3.50 new price. Seat prices sit below typical corporate and school rates.

Figures are 2028 run-rate: 2027 ramps from pilots.

2.0M employer seats ≈ 1.4% of 140.6M MAU; the downside halves it (Appendix 3).

Source: Duolingo Q2 2026 letter via HCGCC 2026 Regional Case; all volumes, prices and growth rates beyond 2026 guidance are team assumptions.

Appendix 2 · Market estimates differ widely, so we state scope with every figure.

RESEARCH HOUSE	SCOPE	SIZE
Global Market Insights	Language learning, all formats (used in this deck)	**$85.1B (2025) → ~$649B (2035)**
Meticulous Research	Online and offline language learning	~$70B (2025) → $227B (2035)
Mordor Intelligence	Language learning	~$84B → $189B (2030)
Narrow “online” forecasts	Online language learning only	~$20B to $86B (mid-2030s)

WHY GMI

It splits the market by segment: education is $61.8B (72.6%), the pool Move 3 targets.

OUR USE

We only claim a share: $237M is <0.5% of $61.8B. Even the lowest estimates leave room.

Source: Global Market Insights GMI5995 (Jan 2026); Meticulous Research (Jun 2025); Mordor Intelligence; Market Research Future (2026), via HCGCC 2026 Regional Case.

Appendix 3 · Even a downside case keeps the plan profitable.

LEVER (2028 RUN-RATE)	BASE CASE	DOWNSIDE CASE
Fair-price tiers, net revenue	2.5M new, 1.0M trade down → $66M	1.5M new, 1.5M trade down → $4M
Schools and universities	6.0M seats → $72M	3.0M seats → $36M
Employers	2.0M seats → $120M	1.0M seats → $60M
Web-direct fee savings	20% share, 22.5% fee → $61M	10% share, 15% fee → ~$19M
Added revenue	**$258M**	**$100M**
Gross profit at 72.6% margin + fee savings	**~$248M**	**~$91M**

Against ~$40M of spend, the downside still returns ~2× in annual gross profit (2028 run-rate vs 24-month spend).

Source: team model; gross margin 72.6% from Duolingo Q2 2026 letter via HCGCC 2026 Regional Case. Assumes institutional margin equals consumer margin, to be tested in pilots.

Appendix 4 · Every success metric has a formula, a baseline and an owner.

METRIC	DEFINITION	BASELINE	OWNER
DAU ÷ MAU	Daily over monthly active users	41.7% (Q2 2026)	Product
Paid conversion	Paid subscribers ÷ MAU	9.0% (12.7M ÷ 140.6M)	Growth
ARPDAU	Revenue ÷ days ÷ daily users	$0.056 a day	Finance
D30 retention	New users still active on day 30	Not disclosed: set Q1 2027	Analytics
CAC payback	Months for revenue to repay acquisition cost	Not disclosed: target ≤6 months	Marketing
Net Promoter Score (NPS)	Likelihood to recommend, −100 to 100	Set Q1 2027	Research
Learning outcome	% of learners gaining ≥1 CEFR level in 12 months (via the Score)	Set Q1 2027	Learning science

Source: Duolingo Q2 2026 letter via HCGCC 2026 Regional Case; owners are team proposals. CEFR = Common European Framework of Reference for Languages. Duolingo does not disclose D30 retention or acquisition cost.

Appendix 5 · Sources and image credits.

TYPE	SOURCE
Company data	HCGCC 2026 Regional Case (Crimson Education), citing Duolingo Q2 2026 letter and Form 10-Q (Aug 5, 2026), Q4/FY2025 letter, 2025 annual filing
Market	Global Market Insights GMI5995 (Jan 2026); Meticulous Research; Mordor Intelligence; Class Central; Axis Intelligence
Competitors	Business of Apps (Babbel); Bloomberg, Jan 21, 2026 (Preply)
Regulation	Mayer Brown, “Little Users, Big Rules” (Jan 2026); Texas Attorney General SCOPE Act guidance
Data note	Case text says English Test revenue fell 8%; its appendix says 17%. We use –7.9% ($45.6M to $42.0M)
Images	Duolingo owl and wordmark © Duolingo, Inc., from the case brief, for analysis only. No other images used
Our numbers	Anything marked “team assumption” or “team estimate” is ours, not company guidance